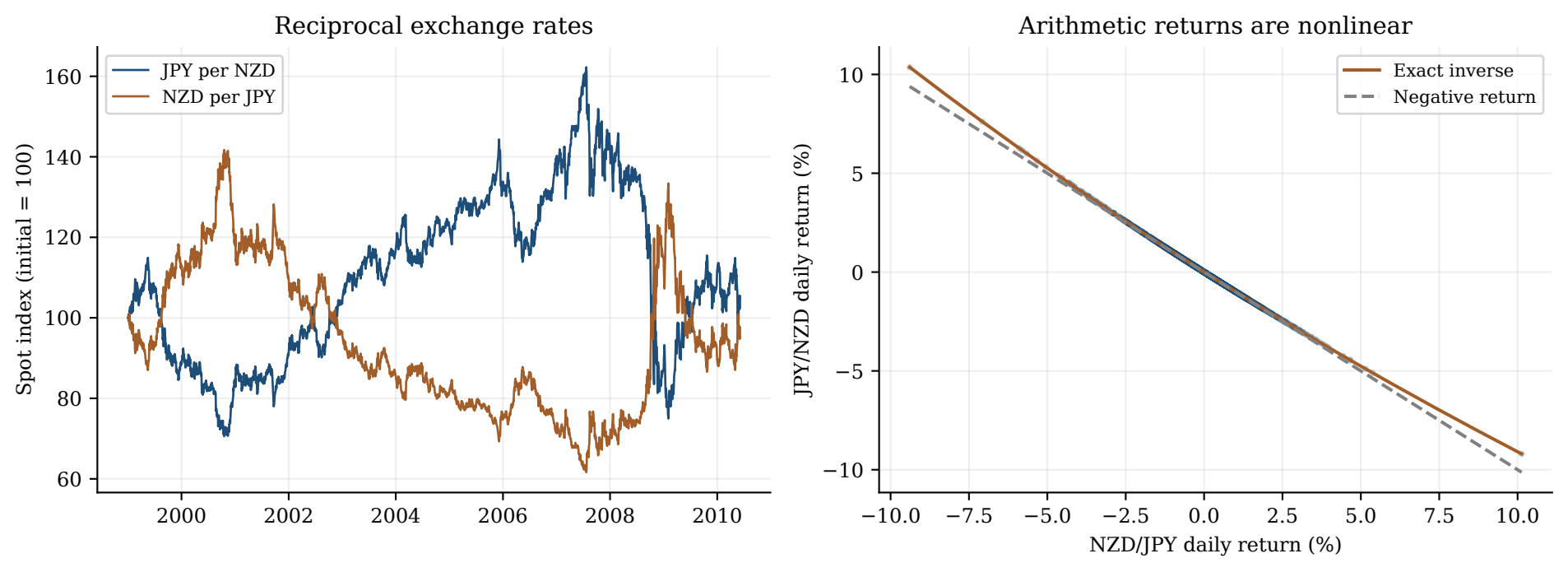

Reciprocal exchange rates
JPY per NZD
NZD per JPY
Spot index (initial = 100)
160
140
120
100
80
60
2000
2002
2004
2006
2008
2010
Arithmetic returns are nonlinear
Exact inverse
Negative return
JPY/NZD daily return (%)
10
5
0
−5
−10
−10.0
−7.5
−5.0
−2.5
0.0
2.5
5.0
7.5
10.0
NZD/JPY daily return (%)